

MODEL QUESTION PAPER SET-1

Financial Accounting III

Time: 3 Hour

Max.Marks: 75

PART A

I Answer ***all*** questions in one word or one sentence.

1	Receipts and Payments Account generally shows :	M 1.01	R
2	Income and Expenditure Account is a :	M 1.01	R
3	_____ Accounts are maintained under a single entry system.	M 2.01	R
4	Single entry system can be adopted by _____.	M 2.01	R
5	Single entry system is not a _____ system of maintaining accounts.	M 2.01	R
6	Depreciation is Charged on :	M 3.01	R
7	Depreciation is a process of _____.	M 3.01	R
8	The Accounting Standards are mandatory for:	M 4.04	R
9	Accounting Standards Board of India was established in the year:	M 4.01	R

PART B

II Answer any ***eight*** questions from the following. Each question carries 3 marks

1	Explain the statement: "Receipt and Payment Account is a summarized version of Cash Book".	M 1.01	U
2	State the meaning of subscription? Explain the calculation?	M 1.01	U
3	List the features of Income and Expenditure Account.	M 1.01	R
4	Consider the following transactions relating to M/s Kisan Food Suppliers: Rs. Opening balance of creditors 40,000 Closing balance of creditors 50,000 Payment made in cash 85,000 Discount received 2,000 Prepare Total Creditors Account.	M 2.07	U

5	Explain the types of Single Entry.	M 2.01	U
6	State the differences between statement of affairs and balance sheet.	M 2.05	R
7	List the causes of Depreciation.	M 3.01	R
8	Explain Depreciation Fund Method.	M 3.03	U
9	Describe IFRS	M 4.05	U
10	Explain ASBI	M 4.01	U

3*8=24

PART C

Answer *all* questions. Each question carries 7 marks

III	From the Receipt and Payment Account given below, prepare the Income and Expenditure Account of Clean Delhi Club for the year ended March 31, 2014. Receipt and Payment Account for the year ending March 31, 2014 <table> <tr> <th>Receipts</th><th>Amount</th><th>Payments</th><th>Amount</th></tr> <tr> <td>Balance b/d (cash in hand)</td><td>3200</td><td>Salary</td><td>1500</td></tr> <tr> <td>Subscriptions</td><td>22500</td><td>Rent</td><td>800</td></tr> <tr> <td>Entrance fees</td><td>1250</td><td>Electricity</td><td>3500</td></tr> <tr> <td>Donations</td><td>2500</td><td>Taxes</td><td>1700</td></tr> <tr> <td>Rent of hall</td><td>750</td><td>Printing and Stationery</td><td>380</td></tr> <tr> <td>Sale of investments</td><td>3000</td><td>Sundry expenses</td><td>920</td></tr> <tr> <td></td><td></td><td>Book purchased</td><td>7500</td></tr> <tr> <td></td><td></td><td>Govt. bond purchased</td><td>10000</td></tr> <tr> <td></td><td></td><td>Fixed deposit with bank</td><td>5000</td></tr> <tr> <td></td><td></td><td>(on 31.03.2014)</td><td></td></tr> <tr> <td></td><td></td><td>Balance b/d</td><td></td></tr> <tr> <td></td><td></td><td>Cash in hand</td><td>400</td></tr> <tr> <td></td><td></td><td>Cash at bank</td><td>1500</td></tr> <tr> <td></td><td></td><td></td><td>1900</td></tr> <tr> <td></td><td>33200</td><td></td><td>33200</td></tr> </table>	Receipts	Amount	Payments	Amount	Balance b/d (cash in hand)	3200	Salary	1500	Subscriptions	22500	Rent	800	Entrance fees	1250	Electricity	3500	Donations	2500	Taxes	1700	Rent of hall	750	Printing and Stationery	380	Sale of investments	3000	Sundry expenses	920			Book purchased	7500			Govt. bond purchased	10000			Fixed deposit with bank	5000			(on 31.03.2014)				Balance b/d				Cash in hand	400			Cash at bank	1500				1900		33200		33200	M1.03	A
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	OR																																																																		

IV	From the trial balance and other information given below for a school, prepare Income and Expenditure Account for the year ended on 31.3.2014 and a Balance Sheet as on that date: <table border="1"> <thead> <tr> <th>Debit balance</th><th>Amount</th><th>Credit balance</th><th>Amount</th></tr> </thead> <tbody> <tr> <td>Building</td><td>625000</td><td>Admission fees</td><td>12500</td></tr> <tr> <td>Furniture</td><td>100000</td><td>Tuition fees received</td><td>500000</td></tr> <tr> <td>Library books</td><td>150000</td><td>Creditors for supplies</td><td>15000</td></tr> <tr> <td>Investment @ 12%</td><td>500000</td><td>Rent for the school hall</td><td>10000</td></tr> <tr> <td>Salaries</td><td>40000</td><td>Miscellaneous receipts</td><td>30000</td></tr> <tr> <td>Stationery</td><td>18000</td><td>Government grant</td><td>350000</td></tr> <tr> <td>General expenses</td><td>15000</td><td>General fund</td><td>1000000</td></tr> <tr> <td>Sports expenses</td><td>50000</td><td>Donation for library books</td><td>62500</td></tr> <tr> <td>Cash at bank</td><td>2000</td><td></td><td>20000</td></tr> <tr> <td>Cash at hand</td><td></td><td>Sale of old furniture</td><td></td></tr> <tr> <td></td><td>2000000</td><td></td><td>2000000</td></tr> </tbody> </table> Additional Information: (i) Fees yet to be received for the year are Rs. 25,000. (ii) Salaries yet to be paid amount to Rs. 30,000. (iii) Furniture costing Rs. 40000 was purchased on October 1, 2010. (iv) The book value of the furniture sold was Rs. 50,000 on 1/04/2013 Depreciation is to be charged @ 10% p.a. on furniture, 15% p.a. on Library books, and 5% p.a. on building.	Debit balance	Amount	Credit balance	Amount	Building	625000	Admission fees	12500	Furniture	100000	Tuition fees received	500000	Library books	150000	Creditors for supplies	15000	Investment @ 12%	500000	Rent for the school hall	10000	Salaries	40000	Miscellaneous receipts	30000	Stationery	18000	Government grant	350000	General expenses	15000	General fund	1000000	Sports expenses	50000	Donation for library books	62500	Cash at bank	2000		20000	Cash at hand		Sale of old furniture			2000000		2000000	M1.04	A
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V	From the following Receipts and Payments Account of Sonic Club and from the given additional information, prepare Income and Expenditure Account for the year ending 31st December, 2006 RECEIPTS AND PAYMENTS ACCOUNT for the year ended 31st December, 2006 <table border="1"> <thead> <tr> <th>Receipts</th><th>Amount</th><th>Payments</th><th>Amount</th></tr> </thead> <tbody> <tr> <td>Balance b/d</td><td>190000</td><td>Salaries</td><td>330000</td></tr> <tr> <td>Subscriptions</td><td>660000</td><td>Sports materials</td><td>400000</td></tr> <tr> <td>Interest on investment @8% for full year</td><td>40000</td><td>Balance c/d</td><td>160000</td></tr> <tr> <td></td><td>890000</td><td></td><td>890000</td></tr> </tbody> </table> Additional Information: (i) The club had received 20,000 for subscription in 2005 for 2006. (ii) Salaries had been paid only for 11 months. (iii) Stock of Sports Materials on 31st December, 2005 was Rs. 3,00,000 and on 31st December, 2006 Rs.6,50,000.	Receipts	Amount	Payments	Amount	Balance b/d	190000	Salaries	330000	Subscriptions	660000	Sports materials	400000	Interest on investment @8% for full year	40000	Balance c/d	160000		890000		890000	M1.03	A																												
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	OR				
VI	Summarise the difference between Income and Expenditure Account and Balance sheet.			M1.01	U
VII	Mr. Mangesh is dealing in business. He maintains his accounting with Single Entry. The following are details of his business.			M2.02	A
	Particulars	01-04-2012	31-03-2013		
	Land and building	40000	50000		
	Machinery	30000	40000		
	Furniture	10000	10000		
	Debtors	20000	40000		
	Stock	10000	25000		
	Cash balance	5000	15000		
	Bills receivable	5000	5000		
	Creditors	25000	25000		
	Bank overdraft	5000	-----		
	Bank balance	-----	10000		
	Mr. Mangesh introduced Rs 10,000 as additional Capital. He spent Rs 45,000 for personal use Depreciate Land and Building by Rs 5,000. Provide 5% R.D, D. on Debtors. Opening Capital Rs. 90000. Prepare: Closing Statement of affairs and the statement of profit or loss.				
	OR				
VIII	What are the Advantages and Disadvantages of Single-Entrysystem?			M2.01	R
IX	Compare Single entry system and Double entry System.			M2.01	U
	OR				
X	Mrs. Vandana runs a small printing firm. She was maintaining only some records, which she thought, were sufficient to run the business. On April 01, 2013, available information from her records indicated that she had the following assets and liabilities: Printing Press Rs. 5,00,000, Buildings Rs. 2,00,000, Stock Rs. 50,000, Cash at bank Rs. 65,600, Cash in hand Rs. 7,980, Dues from customers Rs. 20,350, Dues to creditors Rs. 75,340 and Outstanding wages Rs. 5,000. She withdrew Rs. 8,000 every month for meeting her personal expenses. She had also introduced Rs. 15,000 during the year as additional capital. On March 31, 2014 her position was as follows: Press Rs. 5, 25,000, Buildings Rs. 2,00,000, Stock Rs. 55,000, Cash at bank Rs. 40,380, Cash in hand Rs. 15,340, Dues from customers Rs. 17,210, Dues to creditors Rs. 65,680. Calculate the profit made by Mrs. Vandana during the year using statement of affairs method.			M2.04	U
XI	A Ltd. purchased a 5 years lease on 1 April 2013 for ₹500000. It is decided to write off depreciation on lease using the Annuity method. The			M3.04	U

	rate of interest is presumed to be 6% p.a. The annuity for ₹1 for 5 years at 6% interest is 0.237396. Prepare the Lease A/c for 5 years.		
	OR		
XII	On April 1, 2006, a company purchased machinery worth Rs. 1,00,000 . On October 1, 2008, it purchased additional machinery worth Rs. 20,000 and spent Rs.2,000 on its erection. The accounts are closed each year on March 31. Assuming the annual depreciation to be 10%, show the Machinery Account for 5 years under the straight line method.	M3.02	U
XIII	Explain features of Accounting Standards in India.	M4.02	U
	OR		
XIV	Explain the functions of ASBI.	M4.01	U

Question Wise Analysis

Course: **Financial Accounting III**

Q.No	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.01	R	1	1 MNTS
I.2	M1.01	R	1	1 MNTS
I.3	M2.01	R	1	1 MNTS
I.4	M2.01	R	1	1 MNTS
I.5	M2.01	R	1	1 MNTS
I.6	M3.01	R	1	1 MNTS
I.7	M3.01	R	1	1 MNTS
I.8	M4.04	R	1	1 MNTS
I.9	M4.01	R	1	1 MNTS
II.1	M1.01	U	3	9 MNTS
II.2	M1.01	U	3	9 MNTS
II.3	M1.01	R	3	9 MNTS
II.4	M2.07	U	3	9 MNTS
II.5	M2.01	U	3	9 MNTS
II.6	M2.05	R	3	9 MNTS

II.7	M3.01	R	3	9 MNTS
II.8	M3.03	U	3	9 MNTS
II.9	M4.05	U	3	9 MNTS
II.10	M4.01	U	3	9 MNTS
III.	M1.03	A	7	16.5 MNTS
IV	M1.04	A	7	16.5 MNTS
V	M1.03	A	7	16.5 MNTS
VI	M1.01	U	7	16.5 MNTS
VII	M2.02	A	7	16.5 MNTS
VIII	M2.01	R	7	16.5 MNTS
IX	M2.01	U	7	16.5 MNTS
X	M2.04	U	7	16.5 MNTS
XI	M3.04	U	7	16.5 MNTS
XII	M3.02	U	7	16.5 MNTS
XIII	M4.02	U	7	16.5 MNTS
XIV	M4.01	U	7	16.5 MNTS

Course: **Financial Accounting III**
Set: 1

Blue Print
Mark Distribution

Module	hr / Module	Marks/Module (hi / Σ Hi) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	26	36	2	2	3	9	4	28	9	39
2	27	37	3	3	3	9	4	28	10	40
3	20	27	2	2	2	6	2	14	6	22
4	17	23	2	2	2	6	2	14	6	22
Total	90	123	9	9	10	30	12	84	31	123

Blue Print
Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	25	20
Understanding	70	57
Applying	28	23
Analysing	-	-
Evaluating	-	-
Creating	-	-
Total	123	100

SCHEME 1
Financial Accounting III

SL. NO	SCORING INDICATOR	SCORE
1	A Debit balance	9*1=9 Each one carries one mark.
2	Nominal Account	
3	Personal	
4	Sole trader or partnership firm	
5	Scientific	
6	Fixed Tangible Assets	
7	Allocation	
8	Company	
9	1977	

1	Receipts and Payments Account is a summary of the Cash Book. This account is prepared by those organizations which maintain their books on cash basis, all cash receipts are recorded on the Receipts side (i.e. Debit side) and all cash payments are recorded on the Payments side (i.e. Credit side) of Receipts and Payments Account. It is prepared on the basis of cash and bank transactions recorded in the Cash Book. It begins with the opening balance of cash and bank and ends with the closing balances of cash and bank (balancing figure) at the end of the accounting period. It records all the cash and bank transactions both of capital and revenue nature. It not only records the cash and bank transactions relating to the current accounting period, but also cash and bank receipts (or payments) received during the current accounting period that may be related to the previous or next accounting period. This account only helps us to ascertain the closing balance of the cash and bank and helps in assessing the cash position of an NPO. It also forms the basis for the preparation of Income and Expenditure Account.	8*3=24
2	Subscription is the main source of income for an NPO besides entrance fees, donations, grants, etc. Subscriptions refer to the amount of money paid by the members on periodic basis for keeping their membership with	

	the organization alive. It is paid monthly, quarterly, half yearly or annually by the members. <table><tr><td>Subscription received during the year</td><td></td><td>***</td></tr><tr><td>Add: Subscription received (in advance) during previous year for current year</td><td>***</td><td></td></tr><tr><td>Add: Subscription outstanding at the end of the year</td><td>***</td><td>***</td></tr><tr><td>Less: Subscription received in advance for the next year</td><td>***</td><td></td></tr><tr><td>Less: Subscription outstanding for the previous year</td><td>***</td><td>***</td></tr><tr><td>Subscription shown in Income and Expenditure Account</td><td></td><td>***</td></tr></table>	Subscription received during the year		***	Add: Subscription received (in advance) during previous year for current year	***		Add: Subscription outstanding at the end of the year	***	***	Less: Subscription received in advance for the next year	***		Less: Subscription outstanding for the previous year	***	***	Subscription shown in Income and Expenditure Account		***																							
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3	1. It is prepared at the end of an accounting period. 2. It contains revenue items only. 3. It is prepared on an accrual basis. 4. Income and Expenditure A/c is prepared in the same manner in which Profit and Loss A/c is prepared. 5. It is a nominal A/c. The rule of nominal A/c (debit all expenses and losses and credit all income and gains).	Each one carries three marks.																																								
4	Books of Kisan Food Suppliers Total Creditors Account <table><tr><td>Dat e</td><td>Particulars</td><td>J. F</td><td>Amo unt</td><td>Dat e</td><td>Particulars</td><td>J.F</td><td>Amo unt</td></tr><tr><td></td><td>Cash</td><td></td><td>85000</td><td></td><td>Balance b/d</td><td></td><td>40000</td></tr><tr><td></td><td>Discount</td><td></td><td>2000</td><td></td><td>Credit purchase</td><td></td><td>97000</td></tr><tr><td></td><td>Balance c/d</td><td></td><td>50000</td><td></td><td>(balancing figure)</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td>137000</td><td></td><td></td><td></td><td>13700</td></tr></table>	Dat e	Particulars	J. F	Amo unt	Dat e	Particulars	J.F	Amo unt		Cash		85000		Balance b/d		40000		Discount		2000		Credit purchase		97000		Balance c/d		50000		(balancing figure)						137000				13700	
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			137000				13700																																			

[illegible]

	• Natural resource usage. • Inefficiency/obsolescence.	
8	Under depreciation fund method or sinking fund method, a fund is created with the amount of annual depreciation. An amount equal to annual depreciation is invested each year in government papers or in some other gilt-edged securities outside the business. The income earned from investment is deposited into the fund and immediately reinvested. This process is carried out throughout the life of the asset and at the end of its life a sum equal to the cost of the asset is accumulated in the fund. Then the whole investment is sold and a new asset is acquired with the sale proceeds.	
9	IFRS is the abbreviation for International Financial Reporting Standards. It is a set of rules and guidelines that every firm has to adhere to ensure their financial statements are consistent with other firms worldwide. These rules determine how a company should record a transaction in the accounting books, among other things. The use of IFRS helps to ensure transparency and credibility of the accounting statements. IFRS mandates that all companies following it use the same rules and standards to prepare their financial statements. It means there is uniformity in the financial statements across firms, segments, and nations.	
10	On 21st April 1977, the Institute of Chartered Accountants of India as the premier accounts body in our country set up “Accounting Standard Board” (ASB) to harmonize the diverse accounting policies and practice prevalent in our country. The primary duty of ASB is to formulate the accounting standards for India. These standards may be established by the Council of the Institute in India. During formulation the accounting standards, the ASB considered the applicable laws, usage, customs and the business environment existing in our country. For this purpose, ASB took the valued views and guidelines from various industrial houses, Government, and other interested parties.	

III

Books of Clean Delhi Club

Income and Expenditure Account for the year ending March 31, 2014

Expenditure	Amount	Income	Amount
Salary	1500	Subscriptions	22500
Rent	800	Entrance fees	1250
Electricity	3500	Donation	2500
Taxes	1700	Rent of hall	750
Printing and	380		
Stationery	920		
Sundry expenses	18200		
Surplus (excess income over expenses)			
	27000		27000

7

IV

Income and Expenditure Account

for the year ending on March 31, 2014

Expenditure	Amount	Income	Amount
Loss on sale of old furniture (50000-20000)	30000	Admission fees:	12500
Salaries		Tuition fees	
Add: 500000		500000	
Outstanding 30000	530000	Add	525000
Stationery	40000	Outstanding	
General expenses	18000	<u>25000</u>	10000
Depreciation:			30000
Furniture		Rent for the school hall	350000
3000		Miscellaneous receipts	60000
Building		Government grant	
31250	56750	Interest accrued on investments	
Library books	15000		
22500	297750		
Sports expenses			
Surplus (excess income over expenditure)			
	987500		987500

Balance Sheet as on March 31, 2014

Liabilities	Amount	Assets	Amount
Creditors for	15000	Buildings	625000
Supplies	30000	Less:	

7

	Outstanding Salaries Donation for Library Books General fund 1000000 Add: Surplus 297750	62500 1297750	Depreciation <u>31250</u> Furniture 100000 Less: Depreciation 3000 Sold <u>50000</u> Accrued fees Library books 150000 Less: Depreciation <u>22500</u> Investment @ 12% Interest accrued Cash at bank Cash in hand	593750 47000 25000 127500 500000 60000 50000																																																									
		1405250		1405250																																																									
V	Sonic Club INCOME AND EXPENDITURE ACCOUNT for the year ended 31st December, 2006				7																																																								
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Sports expenses	297750																																																												
Surplus (excess income over expenditure)																																																													
	987500		987500																																																										

VI	Receipts and Payments Account: 1. Nature of Account: It is a real account. 2. Basic Structure: It is basically a summarized cash book. 3. Base: It is based on cash system. 4. Opening Balance: Opening Balance represents cash or bank balance in the beginning of the accounting period. 5. Closing Balance: Closing Balance represents cash or bank balance at the end of the accounting period. 6. Items of Debit side: It is debited with all the sums received. 7. Items of Credit side: It is credited with all the sums paid out. 8. Non-cash items: Non-cash items are not recorded in this account. 9. Nature of items recorded revenue/capital: It records the receipts and payments whether of capital or revenue nature. 10. Period to which items relate: It records transactions of current year, previous year and subsequent years provided flow of cash is affected. 11. Treating of closing balance: Its Closing Balance is carried forward in the same account of the next period. Income and Expenditure Account: 1. Nature of Account: It is a nominal account. 2. Basic Structure: It is like a Profit & Loss A/c. 3. Base: It is based on accrual system. 4. Opening Balance: It has no Opening Balance. 5. Closing Balance: Its Closing Balance represents either net surplus or net deficit. 6. Items of Debit side: It is debited with the expenses and losses. 7. Items of Credit side: It is credited with the income. 8. Non-cash items: Non-cash items like depreciation and bad debts are shown. 9. Nature of items recorded revenue/capital: It records the incomes, expenditures and losses of revenue nature. 10. Period to which items relate: It records transactions pertaining to current year only. 11. Treating of closing balance: Its Closing Balance is transferred to the Capital Fund in the Balance Sheet.	7
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VII	Statement of Affairs as on March 31,2013				7
	Liabilities	amount	Assets	amount	
	Creditors	25000	Cash balance	15000	
	Capital(balancing figure)	170000	Bank balance	10000	
			Machinery	40000	
			Land and building	50000	
			Furniture	10000	
			Debtors	40000	
			Stock	25000	
			Bills receivable	5000	
			Prepaid expenses	-----	
		195000		195000	
Statement of Profit or Loss for the year ended March 31,2013					
	Particulars			Amount	
	Capital at the end of the year			170000	
	Add: Drawings during the year			45000	
	Less: Additional capital introduced during the year			10000	
	Adjusted capital at the end of the year			205000	
	Less: Capital in the beginning of the year			90000	
				115000	
	Less: Depreciation on land and building			5000	
	Reserve for doubtful debt			2000	
	Profit for the year			108000	

VIII	Advantages of Single Entry System: (i) Since this system is very simple, anyone can maintain it without any adequate knowledge of accounting. (ii) Limited accounts are to be opened under this system since the transactions relating to personal accounts are recognised only and not the Real and Nominal accounts. (iii) Since the number of books is limited, expenses related to the keeping of records are also very nominal. (iv) In the case of accounting for an event, i.e., household, social and festival etc., it is very helpful. Disadvantages of Single Entry System: (i) Arithmetical accuracy of the books of account is not possible since the Trial Balance cannot be prepared under this system. (ii) It is also not possible to ascertain the correct amount of profit or loss of the firm—i.e., results from operation—since the nominal accounts are missing under this system. (iii) Similarly, the Balance Sheet cannot be prepared since the real accounts are not recognized. Therefore, the real financial position cannot be known at the end of the accounting period. (iv) As arithmetical accuracy is not possible, possibility of committing fraud or manipulation is greater in comparison with Double Entry System.	7 Each one carries seven marks
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IX	Single entry system 1. Under single entry system, only personal accounts are taken into consideration. Real and Nominal accounts are ignored except cash accounts which are opened in some cases. 2. Under this method, Cash Book, Debtors and Creditors Ledgers are maintained ignoring the effect of personal transactions. Personal transactions are consolidated with business transactions. 3. Detection of errors and arithmetical accuracy are not possible since trial balance is not prepared. 4. Under this system final account i.e., Trading and Profit and Loss Account and Balance Sheet cannot be prepared. 5. Single entry system is not based on scientific basis and, as such, this method is not accepted by some authorities, e.g., the Income-tax Department. 6. Single entry system is not based on fixed principles and, as such, it is not at all reliable. 7. Financial position cannot be known accurately at the end of the period and financial ratios (which are very significant) cannot be computed. Double entry system 1. Under double entry system, Personal, Real and Nominal accounts are taken into consideration. 2. Under the double entry system Debtors and Creditors Ledger, Cash Book and General Ledgers are maintained for a complete transaction. 3. Detection of errors and arithmetical accuracy is possible since trial balance is prepared. 4. Under this system the final account of the firm can be prepared easily. 5. Since this method is based on scientific basis, it is accepted by all. 6. Double entry system is based on certain fixed principles and, as such, is reliable. 7. Financial position can be known accurately at the end of the period, thus financial ratios can easily be computed.	7
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X

Books of Mrs. Vandana
Statement of Affairs as on April 1, 2013
and as on March 31,2014

7

Particulars	01-04-13	31-03-14	Particulars	01-04-13	31-03-14
Creditors	75340	65680	Printing	500000	525000
Wages	5000	--	Building	200000	200000
outstanding	763590	787250	Debtors	20350	17210
Capital(balancing figure)			Stock	50000	55000
			Cash at bank	65600	40380
			Cash in hand	7980	15340
	843930	852930		843930	852930

Particulars	Amount
Capital(31-03-2014)	787250
Add : Drawings	<u>96000</u>
Less : Additional capital introduced	883250
Less: Capital as on (01-04-2013)	<u>15000</u>
Profit during the year	868250
	<u>763590</u>

XI	Amount of depreciation to be written off every year = 0.237396×500000 = ₹118698						7
	Lease Account						
	Date	Particulars	Amount	Date	Particulars	Amount	
	2013-14 1 apr	To bank a/c	500000	2013-14 31 mar	By depreciation a/c	118698	
	31mar r	To interest a/c	30000	31 mar	By balance c/d	411302	
			<u>530000</u>			<u>530000</u>	
	2014-15 1 apr	To Balance b/d	411302	2014-15 31 mar	By depreciation a/c	118698	
	31 mar	To interest a/c	24678		By balance c/d	317282	
			<u>435980</u>			<u>435980</u>	
	2015-16 1 apr	To Balance b/d	317282	2015-16 31 mar	By depreciation a/c	118698	
	31 mar	To interest a/c	19037		By balance c/d	217621	
			<u>336319</u>			<u>336319</u>	
2016-17 1 apr	To Balance b/d	217621	2016-17 31 mar	By depreciation a/c	118698		
31 mar	To interest a/c	13057	31 mar	By balance c/d	111980		
		<u>230678</u>			<u>230678</u>		
2017-18 1 apr	To Balance b/d	111980	2017-18 31 mar	By depreciation a/c	118698		
31 mar	To interest a/c	6718					
		<u>118698</u>			<u>118698</u>		

XII	Cost of Machine Rs.70,000 Cost of Installation Rs. 5,000 Total Rs. 75,000 Rate of Depreciation is 10%. Then annual depreciation will be 10% of 75000 = Rs. 7,500.						7
	Depreciation a/c						
	Date	Particulars	Amount	Date	Particulars	Amount	
	2008 dec31	To Machinery a/c	3750	2008 dec31	By P & L a/c	3750	
	2009 dec31	To Machinery a/c	7500	2009 dec31	By P & L a/c	7500	
	2010 dec31	To Machinery a/c	7500	2010 dec31	By P & L a/c	7500	
	Machinery a/c						
	Date	Particulars	Amount	Date	Particulars	Amount	
	2008 july 1	To bank a/c	70000	2008 dec31	By depreciation a/c	3750	
	2008 july 1	To bank a/c	5000	2008 dec31	By balance c/d	71250	
		<u>75000</u>	2009 dec31	By depreciation a/c	<u>75000</u>		
2009 july 1	To balance b/d	71250	2009 dec31	By balance c/d	7500		
		<u>71250</u>	2010 dec31	By depreciation a/c	63750		
2010 july 1	To balance b/d	63750	2010 dec31	By balance c/d	<u>71250</u>		
		<u>63750</u>			7500		
					56250		
					<u>63750</u>		

XIII	1.Accounting Standards are guidelines providing the framework so that credible financial standards can be produced. 2. The objective of setting the Accounting Standard is to bring uniformity in accounting practices and to ensure transparency, consistency, and comparability. 3. Accounting Standards are prepared keeping in view the business environment and laws of the country. It, therefore, naturally means that the guidelines change with the change in business environment and laws. It is because of this that the Accounting Standard is being revised from time to time. It may be noted that whenever a conflict arises between law and Accounting Standards, the law will prevail. 4. Accounting Standards are mandatory in nature. 5.Accounting Standard has also been made flexible in the sense that where alternative accounting practices are acceptable, an enterprise is free to adopt any of the practices with a suitable disclosure. In case the enterprise chooses to change the practice followed, the effect of such change must be quantified and disclosed. An example of this would be the method of depreciation charged. An enterprise may charge depreciation on the written down value Method or Straight Line Method.	7
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XIV	● To conceive of and suggest areas in which Accounting Standards need to be developed. ● To formulate Accounting Standards through a comprehensive process. ● To review, at regular intervals, the Accounting Standards from the point of view of changed conditions. ● To provide, from time to time, interpretations and guidance to support implementation of Accounting Standards. ● To take adequate steps to enhance knowledge of the members and other stakeholders for effective implementation of Accounting Standards. ● To contribute to the development of a single set of high quality globally accepted financial reporting standards for international use by IFRS Foundation. ● To collaborate and develop mutually beneficial partnerships with other national standard-setters and various consultative/advisory forums of IFRS Foundation.	7
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MODEL QUESTION PAPER----- SET 2

FINANCIAL ACCOUNTING III

(Time: 3 hours)

(Maximum marks: 75)

I Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	General Donation is shown in _____.	M1.01	R
2	Hospitals, schools, clubs, are examples of _____	M1.01	R
3	While calculating profit, drawings will be added to _____.	M2.03	R
4	Books according to incomplete records system can be maintained only by those small entities in the form of _____.	M2.01	R
5	Credit purchase can be ascertained as the balancing figure in the _____ account.	M2.06	R
6	Total amount of depreciation of an asset cannot exceed its _____.	M3.01	R
7	Depreciation is calculated under diminishing balance method, based on _____.	M3.02	R
8	Accounting Standard Board of India was established in the year _____.	M4.01	R
9	The Accounting Standards are mandatory for _____.	M4.02	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Explain the features of Non-Profit Organizations.	M1.01	U
2	A club received Rs. 20,000 as subscriptions during the year 2016-17 of which Rs.3000 relate to year 2015-16 and Rs.2,000 to 2017-18, and at the end of the year 2016-17 Rs.6,000 are still receivable. Calculate Subscription for the year 2016-17.	M1.02	U
3	Explain the procedure for preparation of Income and Expenditure Account.	M1.03	U
4	State the difference between Balance sheet and Statement of Affairs.	M2.05	R
5	Consider the following information extracted from the records of Ms.	M2.03	U

	Sheetu : Capital at the beginning of year, i.e. April 01,2013 Rs. 1,20,000 Capital at the end of year, i.e. on March 31,2014 Rs. 2,00,000 Capital brought in by the proprietor during the year Rs. 50,000 Withdrawals by the proprietor during the year Rs. 30,000 Calculate profit or loss during the year.		
6	List out the causes of depreciation.	M3.01	R
7	Write note on 1. Annuity method 2. Revaluation method	M3.03	U
8	Anil purchased a machine on 1 Apr 2015 for ₹400000. The useful life of the machine is 3 years and its estimated residual value is ₹40000. At the end of its useful life, the machine is sold for 50000. Prepare the Machinery account in the books of Anil for the year ending 31 st December every year. Use Straight line method.	M3.02	U
9	Describe the functions of ASBI.	M4.01	U
10	Identify the following Accounting Standards. • AS1 • AS3 • AS10 • AS14 • AS16 • AS20	M4.04	R

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	Subscription received during the year ended March 31, 2015 at Royal Club were as under: 2013-14 5000 2014-15 90000 2015-16 2500 The club has 500 members each paying @ Rs. 200 as annual subscriptions. Subscription outstanding as on March 31, 2014 were Rs. 9,500. Calculate the amount of subscription to be shown in the Income & Expenditure A/c for the year ended on March 31, 2015.	M1.03	U																
	OR																		
IV	From the following information relating to silverpoint, prepare proper accounts for the year ended. <table border="1" data-bbox="272 1728 1198 1875"> <thead> <tr> <th>Particulars</th><th>amount</th><th>Particulars</th><th>amount</th></tr> </thead> <tbody> <tr> <td>Opening cash balance</td><td>1000</td><td>Sale of old newspaper</td><td>1200</td></tr> <tr> <td>Opening bank balance</td><td>7200</td><td>Donation received for pavilion</td><td>4600</td></tr> <tr> <td>Subscriptions</td><td></td><td></td><td></td></tr> </tbody> </table>	Particulars	amount	Particulars	amount	Opening cash balance	1000	Sale of old newspaper	1200	Opening bank balance	7200	Donation received for pavilion	4600	Subscriptions				M1.02	A
Particulars	amount	Particulars	amount																
Opening cash balance	1000	Sale of old newspaper	1200																
Opening bank balance	7200	Donation received for pavilion	4600																
Subscriptions																			

	2013-14 500 2014-15 7600 2015-16 900 Sale of refreshments Entrance fees received	9000 1000 1000	Rent paid Sports material purchased Purchase of refreshments Expenses for maintenance Of tennis court Salary paid Tournament expenses Furniture purchased Office expenses Closing cash in hand	3000 4800 600 2000 2500 2400 1500 1200 40		
V	Explain the features of Income and Expenditure account.				M1.01	U
	OR					
VI	Nath education trust provides the information regard to receipts and payment account and other information's for the year ended march 31 st 2015.				M1.04	A
	Particulars	Amount	Particulars	amount		
	Cash in hand(01-04-2014)	3000 15000	Printing and stationary	6000		
	Cash at bank(01-04-2014)		Lighting and water	2600		
	Subscriptions		Rent	21000		
	2013-14 12000	73600	Advertisement	2820		
	2014-15 46000	25200	Miscellaneous expenses	4400		
	2015-16 <u>15600</u>	90000	Staff salaries	85000		
	Entrance fees		Furniture purchased	28000		
	Tuition fees		Honorarium	15000		
	Interest on investment	10000	Books	5000		
	2013-14 4000	7200	Cash in hand	9180		
	2014-15 <u>6000</u>		Cash at bank	45000		
	Miscellaneous expenses					
		224000		224000		
	On march 31 The following balance appeared: Investments Rs. 160000, Furniture Rs. 40000, Books Rs. 20000, Surplus Rs.5000 (31-03-2015), Capital (opening) Rs. 254000. Prepare final accounts.					
VII	Compute the amount of total purchases and total sales of Mr. Amit from the following Information for the year ending on March 31, 2014.				M2.07	A

	Total debtors as on April 01, 201340,000 Total creditors as on April 01, 201350,000 Bills receivable as on April 01, 201330,000 Bills payable as on April 01, 201345,000 Discount received5,000 Bad debts2,000 Return inwards4,000 Discount allowed3,000 Cash sales10,000 Cash purchases8,000 Total debtors as on March 31, 201480,000 Cash received from debtors1,00,000 Cash paid to creditors80,000 Cash received against bills receivable25,000 Payment made against bills receivable40,000 Total creditors as on March 31, 201440,000 Bills payable as on March 31, 201450,000 Bills receivable as on March 31, 201435,000																																																														
	OR																																																														
VIII	Mr. Bahadur does not know how to keep books of account. From his various records, the following particulars have been made available prepare the final Accounts, after providing for doubtful debts 5 per cent of debtors outstanding and depreciating the motor car @ 20 per cent. Balance Sheet as on April 1, 2013 <table> <tr> <th>Liabilities</th><th>Amount Rs.</th><th>Assets</th><th>Amount Rs.</th></tr> <tr> <td>Capital</td><td>92500</td><td>Motor Car</td><td>71700</td></tr> <tr> <td>Bills payable</td><td>32800</td><td>Stock</td><td>51500</td></tr> <tr> <td>Creditors</td><td>84200</td><td>Debtors</td><td>49500</td></tr> <tr> <td></td><td></td><td>Bills receivable</td><td>24400</td></tr> <tr> <td></td><td></td><td>Cash in hand</td><td>12400</td></tr> <tr> <td></td><td>209500</td><td></td><td>209500</td></tr> </table> Cash Transactions during the year <table> <tr> <th>Receipts</th><th>Amount Rs.</th><th>Payments</th><th>Amount Rs.</th></tr> <tr> <td>Balance b/d</td><td>12,400</td><td>Furniture</td><td>30,000</td></tr> <tr> <td>Receipt from debtors</td><td>1,15,000</td><td>Wages</td><td>9,400</td></tr> <tr> <td>Bills receivable</td><td>14,200</td><td>Purchases</td><td>40,500</td></tr> <tr> <td>Sales</td><td>1,03,000</td><td>Drawings</td><td>24,000</td></tr> <tr> <td></td><td></td><td>Bills payable</td><td>30,700</td></tr> <tr> <td></td><td></td><td>General expenses</td><td>20,700</td></tr> <tr> <td></td><td></td><td>Payment to creditors</td><td>80,800</td></tr> </table>	Liabilities	Amount Rs.	Assets	Amount Rs.	Capital	92500	Motor Car	71700	Bills payable	32800	Stock	51500	Creditors	84200	Debtors	49500			Bills receivable	24400			Cash in hand	12400		209500		209500	Receipts	Amount Rs.	Payments	Amount Rs.	Balance b/d	12,400	Furniture	30,000	Receipt from debtors	1,15,000	Wages	9,400	Bills receivable	14,200	Purchases	40,500	Sales	1,03,000	Drawings	24,000			Bills payable	30,700			General expenses	20,700			Payment to creditors	80,800	M2.07	A
Liabilities	Amount Rs.	Assets	Amount Rs.																																																												
Capital	92500	Motor Car	71700																																																												
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		Bills payable	30,700																																																												
		General expenses	20,700																																																												
		Payment to creditors	80,800																																																												

			Balance c/d	8,500		
		2,44,600		2,44,600		
	Other Information					
		<i>Particulars</i>		<i>Amount Rs.</i>		
		Bills receivable drawn (received)		6,300		
		Discount to customers		2,300		
		Discount from suppliers		700		
		Credit purchases		29,600		
		Closing stock		41,700		
		Closing balance of debtor		55,000		
		Closing balance of bills payable		10,200		
IX	Mr. Mehta started his readymade garments business on April 1, 2013 with a capital of Rs. 50,000. He did not maintain his books according to double entry system. During the year he introduced fresh capital of Rs. 15,000. He withdrew Rs. 10,000 for personal use. On March 31, 2014, his assets and liabilities were as follows: Total creditors Rs. 90,000; Total debtors Rs. 1,25,600; Stock Rs. 24,750; Cash at bank Rs. 24,980. Calculate profit or loss made by Mr. Mehta during the first year of his business using the statement of affairs method.				M2.04	U
	OR					
X	Compare Statement of profit and Profit and loss account.				M2.05	U
XI	Explain the method of providing depreciation.				M3.01	U
	OR					
XII	On 1st April, 2007, a limited company purchased a Machine for ₹ 1,90,000 and spent ₹ 10,000 on its installation. At the date of purchase, it was estimated that the scrap value of the machine would be ₹ 50,000 at the end of sixth year. Give Machine Account and Depreciation A/c in the books of the Company for 4 years after providing depreciation by Fixed Installment Method. The books are closed on 31st March every year.				M3.02	U
XIII	Describe the procedures for issuing Accounting Standards in India.				M4.03	U
	OR					
XIV	Identify the following Accounting Standards. AS1 AS8 AS18 AS25 AS10 AS5 AS20				M4.04	R

Question Wise Analysis

Course: **Financial Accounting III**

Q.No	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.01	R	1	1 MNTS
I.2	M1.01	R	1	1 MNTS
I.3	M2.03	R	1	1 MNTS
I.4	M2.01	R	1	1 MNTS
I.5	M2.06	R	1	1 MNTS
I.6	M3.01	R	1	1 MNTS
I.7	M3.02	R	1	1 MNTS
I.8	M4.01	R	1	1 MNTS
I.9	M4.02	R	1	1 MNTS
II.1	M1.01	U	3	9 MNTS
II.2	M1.02	U	3	9 MNTS
II.3	M1.03	U	3	9 MNTS
II.4	M2.05	R	3	9 MNTS
II.5	M2.03	U	3	9 MNTS
II.6	M3.01	R	3	9 MNTS
II.7	M3.03	U	3	9 MNTS

II.8	M3.02	U	3	9 MNTS
II.9	M4.01	U	3	9 MNTS
II.10	M4.04	R	3	9 MNTS
III.	M1.03	U	7	16.5 MNTS
IV	M1.02	A	7	16.5 MNTS
V	M1.01	U	7	16.5 MNTS
VI	M1.04	A	7	16.5 MNTS
VII	M2.07	A	7	16.5 MNTS
VIII	M2.07	A	7	16.5 MNTS
IX	M2.04	U	7	16.5 MNTS
X	M2.05	U	7	16.5 MNTS
XI	M3.01	U	7	16.5 MNTS
XII	M3.02	U	7	16.5 MNTS
XIII	M4.03	U	7	16.5 MNTS
XIV	M4.04	R	7	16.5 MNTS

Course: **Financial Accounting III**
Set: 2

Blue Print
Mark Distribution

Module	hr / Module	Marks/Module (hi / Σ Hi) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	26	36	2	2	3	9	4	28	9	39
2	27	37	3	3	2	6	4	28	10	37
3	20	27	2	2	3	9	2	14	6	25
4	17	23	2	2	2	6	2	14	6	22
Total	90	123	9	9	10	30	12	84	31	123

Blue Print
Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	25	20
Understanding	70	57
Applying	28	23
Analysing	-	-
Evaluating	-	-
Creating	-	-
Total	123	100

SCHEME 2
Financial Accounting III

SL NO	SCORING INDICATOR	SCORE
	Income and Expenditure Account	1*9 = 9 One mark for each answer
2	Non-Profit Organizations	
3	Closing Capital	
4	Sole trader and Partnership	
5	Creditors Account	
6	Depreciation Value	
7	Book Value	
8	1977	
9	Companies	
1	Characteristics of Not-for-Profit Organizations 1. Service Motive: These organizations have a motive to provide service to its members or a specific group or to the general public. They provide services free of cost or at a bare minimum price as their aim is not to earn the profit. They do not discriminate among people on the basis of their caste, creed or color. Examples of services provided by them are education, food, health care, recreation, sports facility, clothing, shelter, etc. 2. Members: These organizations are formed as charitable trusts or societies. The subscribers to these organizations are their members. 3. Management: The managing committee or the executive committee manages these organisations. The members elect the committee. 4. Source of Income: The major sources of income of not-for-profit organisations are subscriptions, donations, government grants, legacies, income from investments, etc. 5. Surplus: The surplus generated in the due course is distributed among its members. 6. Reputation: These organisations earn their reputation or goodwill on the basis of the good work done for the welfare of the public. 7. Users of accounting information: The users of the accounting information of these organisations are present and potential contributors as well as the statutory bodies.	
2	Subscriptions received in 2016-17 20,000 Less: Subscriptions for the year 2015-16 3,000	

	17,000 Less: Subscription for the year 2017-18 2,000 15,000 Add: Subscriptions outstanding for the year 2016-17 <u>6,000</u> Income from subscriptions for the year 2016-17 <u>21,000</u>	
3	Procedures 1. Leave the opening and closing balance of cash and bank given in the receipts and payments account. 2. Take only revenue items of income and expenditure and leave all those items which are of capital nature. 3. Make all adjustments for outstanding and prepaid expenses, accrued income, income received in advance, provision for depreciation or bad debts etc. 4. Taking items only for the current period <i>i.e.</i>, items relating to the preceding and succeeding periods are to be ignored.	
4	Balance Sheet – It is an indicator of the financial position of a given entity to a specific date. • Objectives: To Know the financial position of the business. It reports aggregate balances of assets, liabilities and equity accounts as the end of a certain period, usually a year. The main objective of making balance sheet is to show the financial position of any organization. • Accounting method: When accounting is maintained under the double-entry system, balance sheet is prepared. • Basis of preparation: The basis of preparation of the Balance Sheet is a double-entry system. It is prepared exclusively on the basis of ledger accounts. • Reliability: It is regarded as a reliable statement. It is accurate as it is prepared after a complete procedure is followed • Missing of Facts: Since both the aspects of all transactions are duly recorded, no chance for missing facts. If we forget to show any asset or liability, our balance sheet will not match. With this, we can find the mistake. • Arithmetical Correctness: When the balance sheet's both sides are matched, it means, it shows also the arithmetical correctness. Because it is prepared from the trial balance and trial balance is prepared from the balance of ledger accounts. Statement of Affairs – It is identified as a record of the financial position of a particular business entity at a given time. • Objectives: To find out the capital of a business. The key purpose of SOA is to afford relevant information for interested parties such as shareholders, customers, employees, competitors, etc. The main	Three marks for each answer. The candidate can choose any eight questions to answer out of ten.

	objective of making a statement of affairs to find the opening and closing capital in a single entry system and in the liquidation of the company, to find surplus or deficiency on the basis of the estimated value of assets and liabilities of the company. • Accounting method: Statement of affairs is prepared when accounts are maintained under a single entry system of accounting. • Basis of preparation: It is prepared on the basis of some ledger accounts and estimates. The basis of preparation of the Statement of Affairs is a partly single entry and partly double-entry system, • Reliability: It is not regarded as reliable. The accuracy of the Statement of Affairs is very less, as it is ready from incomplete records. • Missing of Facts: There remains always a possibility for missing facts because the accounts are incomplete. Because all the assets and liabilities are shown on our past estimation, so, if we forget any asset or liability, we cannot find from the statement of affair because due to a wrong estimation, we can show less or more value of asset or liability. • Arithmetical Correctness: It does not prove the arithmetical correctness because it is prepared just information of accounting record. It is not prepared on the basis of trial balance.																	
5	Statement of profit or loss. <table><tr><th>Particulars</th><th>Amount</th></tr><tr><td>Capital as on march 31, 2014</td><td>200000</td></tr><tr><td>Add Drawings during the year</td><td><u>30000</u></td></tr><tr><td></td><td>230000</td></tr><tr><td>Less Additional capital introduced during the year</td><td><u>(50000)</u></td></tr><tr><td></td><td>180000</td></tr><tr><td>Less Capital in the beginning, April 01, 2013</td><td><u>(120000)</u></td></tr><tr><td>Profit made during the year</td><td>60000</td></tr></table>	Particulars	Amount	Capital as on march 31, 2014	200000	Add Drawings during the year	<u>30000</u>		230000	Less Additional capital introduced during the year	<u>(50000)</u>		180000	Less Capital in the beginning, April 01, 2013	<u>(120000)</u>	Profit made during the year	60000	
Particulars	Amount																	
Capital as on march 31, 2014	200000																	
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	180000																	
Less Capital in the beginning, April 01, 2013	<u>(120000)</u>																	
Profit made during the year	60000																	
6	<i>Wear and tear.</i> Any asset will gradually break down over a certain usage period, as parts wear out and need to be replaced. Eventually, the asset can no longer be repaired, and must be disposed of. This cause is most common for production equipment, which typically has a manufacturer's recommended life span that is based on a certain number of units produced. Other assets, such as buildings, can be repaired and upgraded																	

	for long periods of time. <i>Perish ability.</i> Some assets have an extremely short life span. This condition is most applicable to inventory, rather than fixed assets. <i>Usage rights.</i> A fixed asset may actually be a right to use something (such as software or a database) for a certain period of time. If so, its life span terminates when the usage rights expire, so depreciation must be completed by the end of the usage period. <i>Natural resource usage.</i> If an asset is natural resources, such as oil or gas reservoir, the depletion of the resource causes depreciation (in this case, it is called depletion, rather than depreciation). The pace of depletion may change if a company subsequently alters its estimate of reserves remaining. <i>Inefficiency/obsolescence.</i> Some equipment will be rendered obsolete by more equipment, which reduces the usability of the original equipment.	
7	Annuity method The annuity method of depreciation is a process used to calculate depreciation on an asset by calculating its rate of return as if it was an investment. This method requires the determination of the internal rate of return (IRR) on the cash inflows and outflows of the asset. Revaluation method A method of determining the depreciation charge on a fixed asset against profits for an accounting period. The asset to be depreciated is revalue each year; the fall in the value is the amount of depreciation to be written off the asset and charged against the profit and loss account for the period.	

8	Machinery a/c						8*3 = 24
	Date	Particulars	Amount	Date	Particulars	Amount	
	2015 1 apr	To cash a/c	400000	2015 31 dec	By depreciation a/c	90000	
				31 dec	By balance c/d	310000	
			400000			400000	
	2016 1 apr	To balance b/d	310000	2016 31 dec	By depreciation a/c	120000	
				31 dec	By balance c/d	190000	
			310000			310000	
	2016 1 apr	To balance b/d	190000	2017 31 dec	By depreciation a/c	120000	
				31 dec	By balance c/d	70000	
			190000			190000	
	2018 1 jan	To balance b/d	70000	2018 31 mar	By depreciation a/c	30000	
				31 mar	By cash /c	40000	
			70000			70000	
9	Establish Reporting Standards One of the most important functions of the Financial Accounting Standards Board is that it is responsible for establishing the reporting standards used by financial professionals. Reporting refers to the detailed reports that accountants make and share with their clients. The FASB ensures that all accountants follow the same standards and that they create reports that those with limited financial experience can understand. Improve Existing Standards According to the official website of the Financial Accounting Standards Board, it strives to improve the existing standards used by accountants in today's world. The FASB has its own independent agency that is responsible for investigating new methods of reporting and looking at how technology changed the accounting field. That council then comes together and introduces new methods of both accounting and reporting. Accountants may						

	also get help learning how to work with their clients and help following established reporting and practice laws. Ensure Investors Receive Information Financial accounting often requires that accountants work in large firms and for private and public companies. Those who work for larger corporations are responsible for providing investors with information regarding the profits and losses of that company each year. The Financial Accounting Standards Board ensures that investors receive that necessary information. A recent change that the organization made now gives companies the right to limit the information that they share with investors. This change allows companies to decide whether it should share additional information regarding the testing or early work into a new product. This will most likely relate more to prescription drug companies than traditional manufacturing companies. Establish Accounting Principles Generally accepted accounting principles are the principles that the U.S. Securities and Exchange Commission uses and mandates that accountants use too. One example is full disclosure principle, which gives a company the right to inform investors and the general public about all the costs that it incurs and spends every year. Constraints and assumptions are two other examples of accounting principles used today. The FASB both establishes new accounting principles and ensures that financial accountants follow all existing principles. Ensure an Understanding of Principles One of the lesser known functions of the Financial Accounting Standards Board is that it is responsible for ensuring that accountants working in the financial sector have a basic understanding of these principles. Though accountants must go through a minimum of four years of schooling that teaches them about assumptions and other principles, they may find themselves losing some of that knowledge after going to work in the field. The FASB ensures that they carry those principles with them and that they have an understanding of how to use each one while working with clients.	
10	AS1 - Disclosure of Accounting Policies AS3 - Cash Flow Statements AS10 - Accounting for Fixed Assets AS14 - Accounting for Amalgamations AS16 - Borrowing Costs AS20 - Earnings Per Share	

III

Income and Expenditure account

expenditure	Amount	income	Amount
		By Subscription	97500
		Add: outstanding	14500
			112000
		Less: outstanding	9500
		Less Prepaid	2500
			100000
			100000

In this question members are given so the amount to be shown is always equal to the amount members has to pay in any one year i.e. $500 \times 200 = 1,00,000$

Calculation of Outstanding as on 31-03-2015 (end)

Total amount to be received during the year

500×200

1,00,000

Amount received during the year (2014-15)

90,000

Outstanding for the current year (2014-15)

10,000

Outstanding as on 31-03-2014 (Previous Year)

9,500

received during the year

5,000

Still outstanding as on 31-03-2015

4,500

Outstanding for the current year (2014-15)

10,000

Still outstanding as on 31-03-2015

4,500

Outstanding as on 31-03-2015

14,500

7

IV

Silver Point

Receipts and Payments account for the year ended

Receipts	amount	Payments	amount
Balance b/d		Rent paid	3000
Cash	1000	Sports material	4800
bank	7200	purchased	600
Subscriptions		Purchase of refreshments	2000
2013-14		Expenses for	
500		maintenance	2500
2014-15	9000	Of tennis court	2400
7600	1000	Salary paid	1500
2015-16	1000	Tournament expenses	
900	1200	Furniture purchased	1200
Sale of refreshments	4600	Office expenses	
Entrance fees received		Balance c/d	400
Sale of old newspaper		Cash	6600

7

	<table><tr><td>Donation received for pavilion</td><td></td><td>Bank</td><td></td></tr><tr><td></td><td>25000</td><td></td><td>25000</td></tr></table>	Donation received for pavilion		Bank			25000		25000																																																	
Donation received for pavilion		Bank																																																								
	25000		25000																																																							
V	Features of Income and Expenditure account. - Income and expenditure account presented by non-trading entities are much like the profit and loss a/c presented by trading entities. - It is prepared by stringently following the fundamentals of the double-entry system of bookkeeping or accounting. - It is always prepared during the end of the period which normally comprises of 1 year. - It decides the surplus or deficit of income over expends of the non-trading entities for the particular year. - The surplus or deficit from the income and expenditure account is moved to the capital fund a/c. - The Income and expenditure account of only revenue nature are incorporated in this account. Any income and expenditure of capital nature are not comprehended. - It is prepared by accountants chosen by the enterprise’s management and is audited by an independent auditor. - It does not begin with the opening balance, and it follows back the incomes received and expenditures incurred by the non-trading entities during the financial year. - The accumulated or accrual concept of accounting is rigidly pursued when it is prepared.	7																																																								
VI	Balance sheet as on 31 march 2015 <table><tr><td>Liabilities</td><td>amount</td><td>Assets</td><td>Amount</td></tr><tr><td>Tuition fee advance</td><td>10000</td><td>Investments</td><td>160000</td></tr><tr><td>Rent Outstanding</td><td>3000</td><td>Furniture</td><td>40,000</td></tr><tr><td>Advertisement Outstanding</td><td>380</td><td>Less: Depreciation</td><td><u>4,000</u></td></tr><tr><td>Printing & Stationery</td><td>1800</td><td></td><td>36000</td></tr><tr><td>Outstanding</td><td>15600</td><td>Add: Purchases</td><td><u>28,000</u></td></tr><tr><td>Advance Subscription</td><td></td><td>Books</td><td>20,000</td></tr><tr><td>Capital/</td><td></td><td>Add: Purchases</td><td><u>5,000</u></td></tr><tr><td>General Fund</td><td>2,54,000</td><td>Interest Accrued</td><td>800</td></tr><tr><td>Add Entrance fee</td><td>25,200</td><td>Outstanding tuition fee</td><td>10000</td></tr><tr><td>Add Surplus</td><td><u>5,000</u></td><td>Staff Salary Advance</td><td>1000</td></tr><tr><td></td><td></td><td>Cash in Hand</td><td>9180</td></tr><tr><td></td><td></td><td>Cash at Bank</td><td>45000</td></tr><tr><td></td><td>314980</td><td></td><td>314980</td></tr></table>	Liabilities	amount	Assets	Amount	Tuition fee advance	10000	Investments	160000	Rent Outstanding	3000	Furniture	40,000	Advertisement Outstanding	380	Less: Depreciation	<u>4,000</u>	Printing & Stationery	1800		36000	Outstanding	15600	Add: Purchases	<u>28,000</u>	Advance Subscription		Books	20,000	Capital/		Add: Purchases	<u>5,000</u>	General Fund	2,54,000	Interest Accrued	800	Add Entrance fee	25,200	Outstanding tuition fee	10000	Add Surplus	<u>5,000</u>	Staff Salary Advance	1000			Cash in Hand	9180			Cash at Bank	45000		314980		314980	7
Liabilities	amount	Assets	Amount																																																							
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		Cash at Bank	45000																																																							
	314980		314980																																																							

VII	Total bills receivable a/c				7
	Particulars	amount	Particulars	amount	
	Balance b/d	30,000	Cash	25,000	
	Total debtors (balancing figure)	30,000	Balance c/d	35,000	
		<u>60000</u>		<u>60000</u>	
	Total bills payable a/c				
	Particulars	amount	Particulars	amount	
	Cash	40,000	Balance b/d	45,000	
	Balance c/d	50,000	Total creditors (balancing figure)	45,000	
		<u>90,000</u>		<u>90,000</u>	
	Total debtors a/c				
	Particulars	amount	Particulars	amount	
	Balance b/d	40,000	Bad debts	2,000	
	Sales(balancing figure)	1,79,000	Return inwards	4,000	
			Discount allowed	3,000	
			Cash	1,00,000	
			Bills receivable (Transfer from bills receivable account)	30,000	
			Balance c/d	80,000	
		<u>2,19,000</u>		<u>2,19,000</u>	
	Total creditors a/c				
	Particulars	amount	Particulars	amount	
	Discount received	5,000	Balance b/d	50,000	
	Cash	80,000	Purchases (credit)	1,20,000	
	Bills payable (transfer from bills payable account)	45,000	(balancing figure)		
		40,000			
	Balance c/d				
		<u>1,70,000</u>		<u>1,70,000</u>	
VII I	Cash sales and cash purchases are available from cash transactions. Credit purchase is also given. But credit sale is to be ascertained by the opening debtors account. Though the credit purchase is available, the closing balance of creditors is not known. That is why the creditors account also has to be opened. As there are bills payable and bills receivable, those accounts also have to be opened, otherwise the creditors and debtors accounts will not be complete.				7

Books of Mr. Bahadur Trading and Profit and Loss Account for the year ended March 31, 2014

Expenses/Losses	Amount Rs.	Revenues/Gains	Amount Rs.
Opening stock	51,500	Sales	
purchases			
Cash 40,500		Cash 1,03,000	
Credit 29,600	70,100	Credit 1,29,100	2,32,100
Wages	9,400	Closing stock	41,700
Gross profit/d	1,42,800		
	2,73,800		2,73,800
General expenses	20,700	Gross profit/d	1,42,800
Discount allowed	2,300	Discount received	700
Depreciation on motor car	14,340		
Reserve for bad debts	2,750		
Net profit	1,03,410		
	1,43,500		1,43,500

Balance Sheet as March 31, 2014

Liabilities	Amount Rs.	Assets	Amount Rs.
Capital 92,500		Motor car 71,700	
Add Net profit 1,03,410			57,360
		Less depreciation 14,340	
		Furniture	30,000
1,95,910		Stock	41,700
Less Drawings (24,000)	1,71,910	Debtors 55,000	
Creditors	24,200	Less Provision (2,750)	52,250
Bills payable	10,200	Bills receivable	16,500
		Cash	8,500
	2,06,310		2,06,310

(i) Total Bills Receivable Account

Date	Particulars	J.F.	Amount Rs.	Date	Particulars	J.F.	Amount Rs.
	Balance b/d		24,400		Cash (receipt)		14,200
	Debtors (bills drawn)		6,300		Balance c/d (balancing figure)		16,500
			30,700				30,700

			1,75,330		1,75,330	
	Statement of Profit or Loss for the year ended March 31, 2014					7
	Particulars					Amount
						Rs.
	Add	Capital as on March 31, 2014			85,330	
		Drawings during the year			<u>10,000</u>	
					95,330	
	Less	Additional capital introduced during the year			<u>(15,000)</u>	
		Adjusted capital at end of the year, i.e. March 31, 2014			80,330	
	Less	Actual capital at the beginning of year, i.e. April 01, 2013			<u>(50,000)</u>	
		Profit made during the year			30,330	
X	Basis	Profit and Loss Account		Profit and Loss Appropriation Account		
	Purpose	P&L account is used to determine Net Profit or Net Loss of an organization for a given accounting period.		P&L appropriation account is used for allocation and distribution of Net Profit among partners, reserves and dividends.		7
	Made by	P&L account is prepared by all types of businesses.		P&L appropriation account is prepared mainly by partnership firms.		
	Balances	Profit and loss accounts don't have any opening or closing balance as it is prepared for a specific accounting period.		Profit and loss appropriation account may have carry forward balance from the previous accounting period.		
	Timing	It is prepared after the trading account.		It is made after preparation of profit and loss account.		
	Nature	Items debited are all expenses (charged against profit)		Items debited are all appropriations of profit. (how profit is divided)		
	Partnership	Preparation of P&L account is not based on a partnership agreement (exception – interest on a loan from partners)		Preparation of P&L account is based on a partnership agreement.		

	<table> <tr> <td>Principle</td><td>Matching principle is followed i.e. expenses for an accounting period are matched against related incomes.</td><td>Matching principle is not followed while preparing a P&L appropriation account.</td></tr> </table>	Principle	Matching principle is followed i.e. expenses for an accounting period are matched against related incomes.	Matching principle is not followed while preparing a P&L appropriation account.	
Principle	Matching principle is followed i.e. expenses for an accounting period are matched against related incomes.	Matching principle is not followed while preparing a P&L appropriation account.			
XI	Straight Line Method Of Depreciation This method which is also known as fixed instalment system, provides for equal amount of depreciation every year. Under this method, the cost of acquisition plus the installation charges, minus the scrap value, is spread over the estimated life of the asset to arrive at the annual charge. In other words, this method writes off a fixed percentage, say 20%, of the original cost of the asset every year in such a way that the asset is reduced to nil or scrap value at the end of its life. Diminishing Balance Method This method which is also known as the, 'reducing instalment system', or 'written down value method', applies depreciation as a fixed percentage to the balance of the net cost of the asset not yet allocated at the end of the previous accounting period. The percentage of depreciation is so fixed that, theoretically, the balance of the unallocated cost at the end of the estimated useful life of the asset should be equal to the estimated residual value. Annuity Method As we all know that depreciation is the decrease in the value of assets. In other words, it can be said that it is a method of allocating the cost of the asset over its useful life. However, at the end of the accounting year, depreciation is charged to the Profit and Loss A/c. Annuity method of depreciation is also another method of depreciation apart from other methods like the straight-line method, written down value method, etc.	7			

Depreciation Fund Method

Under depreciation fund method or sinking fund method, a fund is created with the amount of annual depreciation. An amount equal to annual depreciation is invested each year in government papers or in some other gilt-edged securities outside the business. The income earned from investment is deposited into the fund and immediately reinvested. This process is carried out throughout the life of the asset and at the end of its life a sum equal to the cost of the asset is accumulated in the fund. Then the whole investment is sold and a new asset is acquired with the sale proceeds.

Revaluation Method

Under **revaluation method** a competent person values the asset concerned at the end of each financial year and the depreciation is calculated by deducting the value at the end of the year from the value at the beginning of the year. Adjustments are however made if there are any additions to or sales of the asset made during the year.

XII

Machinery Account

Date	Particulars	Amount (Rs)	Date	Particulars	Amount (Rs)
2007 Apr. 01	Bank A/c (1,90,000 + 10,000)	2,00,000	2008 Mar. 31	Depreciation A/c	25,000
			Mar. 31	Balance c/d	1,75,000
		2,00,000			2,00,000
2008 Apr. 01	Balance b/d	1,75,000	2009 Mar. 31	Depreciation A/c	25,000
			Mar. 31	Balance c/d	1,50,000
		1,75,000			1,75,000
2009 Apr. 01	Balance b/d	1,50,000	2010 Mar. 31	Depreciation A/c	25,000
			Mar. 31	Balance c/d	1,25,000
		1,50,000			1,50,000
2010 Apr. 01	Balance b/d	1,25,000	2011 Mar. 31	Depreciation A/c	25,000
			Mar. 31	Balance c/d	1,00,000
		1,25,000			1,25,000

Depreciation Account

Date	Particulars	Amount (Rs)	Date	Particulars	Amount (Rs)
------	-------------	-------------	------	-------------	-------------

7 Answer any one question from the choice . Each answer carries seven marks

	2008 Mar. 31	Machinery A/c	25,000 25,000	2008 Mar. 31	Profit and Loss A/c	25,000 25,000	
	2009 Mar. 31	Machinery A/c	25,000 25,000	2009 Mar. 31	Profit and Loss A/c	25,000 25,000	
	2010 Mar. 31	Machinery A/c	25,000 25,000	2010 Mar. 31	Profit and Loss A/c	25,000 25,000	
	2011 Mar. 31	Machinery A/c	25,000 25,000	2011 Mar. 31	Profit and Loss A/c	25,000 25,000	
XII I	Procedure for Issuing an Accounting Standard Broadly, the following procedure is adopted for formulating Accounting Standards: (i) The ASB determines the broad areas in which Accounting Standards need to be formulated and the priority in regard to the selection thereof. (ii) In the preparation of Accounting Standards, the ASB will be assisted by Study Groups constituted to consider specific subjects. (iii) The draft of the proposed standard will normally include the following: – Objective of the Standard, – Scope of the Standard, – Definitions of the terms used in the Standard, – Recognition and measurement principles, wherever applicable, – Presentation and disclosure requirements. (iv) The ASB will consider the preliminary draft prepared by the Study Group and if any revision of the draft is required on the basis of deliberations, the ASB will make the same. (v) The Exposure Draft of the proposed Standard will be issued for comments by the members of the Institute and the public. The Exposure Draft will specifically be sent to specified bodies (as listed above), stock exchanges, and other interest groups, as appropriate. (vi) After taking into consideration the comments received, the draft of the proposed Standard will be finalized by the ASB and submitted to the Council of the ICAI. (vii) The Council of the ICAI will consider the final draft of the proposed Standard, and if found necessary, modify the same in consultation with the ASB. The						7

	Accounting Standard on the relevant subject will then be issued by the ICAI. (viii) For a substantive revision of an Accounting Standard, the procedure followed for formulation of a new Accounting Standard, as detailed above, will be followed. (ix) Subsequent to issuance of an Accounting Standard, some aspect(s) may require revision which is not substantive in nature. For this purpose, the ICAI may make limited revision to an Accounting Standard. The procedure followed for the limited revision will substantially be the same as that to be followed for formulation of an Accounting Standard, ensuring that sufficient opportunity is given to various interest groups and general public to react to the proposal for limited revision.	
XI V	AS1 - Disclosure of Accounting Policies AS8 - Accounting for Research and Development AS18 - Related Party Disclosures AS25 - Interim Financial Reporting AS10 - Accounting for Fixed Assets AS5 - Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies AS20 - Earnings Per Share	7